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Restrictions on Acquisition of Immovables Act

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RT I, 23.02.2012, 11
Entry into force 04.03.2012

Chapter 1 General Provisions

§ 1. Area of regulation of Act

(1) This Act provides the restrictions on the acquisition of immovables used as profit yielding land arising from public interest and the restrictions on the acquisition of immovables arising from national security reasons. For the purposes of this Act, public interest is, in particular, development of the management for specific purposes and sustainable management of immovables used as profit yielding land which contain agricultural and forest land.

(2) For the purposes of this Act, agricultural land is a land parcel in the land use type category of land under cultivation or natural grassland or both such lands of an immovable used as profit yielding land or a part thereof.

(3) For the purposes of this Act, forest land is a land parcel in the land use type category of forest land of an immovable used as profit yielding land or a part thereof.

(4) The land use type categories of an immovable to be acquired are determined on the basis of land cadastre data.

(5) The provisions of the Administrative Procedure Act apply to the administrative proceedings prescribed in this Act, taking account of the specifications provided for in this Act.

§ 2. Scope of application of Act

(1) This Act does not apply in the cases of acquisition of immovables:

1) on the basis of the Land Reform Act;

2) if the acquirer is the Estonian state, an Estonian local government, another legal person in public law established in Estonia or a state foundation established to support rural entrepreneurship;

[RT I, 30.09.2021, 2 – entry into force 10.10.2021]

3) if a co-owner acquires a legal share in the immovable from another co-owner;

4) to the joint property of spouses or registered partners if the restrictions provided by this Act do not apply to at least one of the spouses or registered partners;

[RT I, 06.07.2023, 6 – entry into force 01.01.2024]

5) by the transferor's spouse, registered partner, descendant or ascendant;

[RT I, 06.07.2023, 6 – entry into force 01.01.2024]

6) by succession;

7) if the immovable is acquired by merger or division of legal persons.

(2) For the purposes of this Act, acquisition of a legal share of an immovable is deemed equal to the acquisition of an immovable if the immovable as a whole meets the requirements provided for in subsections 3–5 of § 4 of this Act or is located in the area specified in subsection 1 of § 10 of this Act.

(3) For the purposes of §§ 5 and 10 of this Act, acquisition of a right of superficies, encumbrance of an immovable with a usufruct for longer than ten years or for an unspecified term and encumbrance of an immovable with a right of superficies are deemed equal to the acquisition of an immovable. This subsection does not apply if the right of superficies is acquired by the owner of the immovable or if an immovable is encumbered with a usufruct or a right of superficies for the benefit of the owner of the immovable.

(4) This Act does not apply in the cases of acquisition of an apartment ownership or a right of superficies in apartments and encumbrance of an immovable with a right of superficies in apartments.

§ 3. Nullity of transaction which violates restrictions

(1) Any transaction which is in violation of the restrictions on the acquisition of immovables provided for in this Act is void.

(2) In the case of a transaction which is in violation of the restrictions on the acquisition of immovables used as profit yielding land, the local government of the location of the immovable (hereinafter *local government*) shall request correction of the land register entry and, in the case of a dispute, shall have recourse to a court for establishment of the nullity of the transaction. The costs of state functions performed by local governments shall be compensated to rural municipality or city governments from the state budget.

[RT I, 04.07.2017, 1 – entry into force 01.01.2018]

(3) In the case of a transaction which is in violation of the restrictions on the acquisition of immovables arising from national security reasons, the minister in charge of the policy sector shall request correction of the land register entry and, in the case of a dispute, shall

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Chapter 2

Restrictions on Acquisition of Immovables Used as Profit Yielding Land

§ 4. Acquisition of immovables which contain agricultural or forest land by persons of Contracting States

(1) A citizen of Estonia or another country which is a contracting party to the EEA Agreement or a member state of the Organisation for Economic Cooperation and Development (hereinafter *Contracting State*) has the right to acquire an immovable which contains agricultural or forest land without restrictions.

(2) A legal person the seat of which is in a Contracting State (hereinafter *legal person of a Contracting State*) has the right to acquire an immovable which contains less than ten hectares of agricultural land, forest land or agricultural and forest land in total without restrictions.

(3) A legal person of a Contracting State has the right to acquire an immovable which contains ten hectares or more of agricultural land if the legal person has been engaged, for three years immediately preceding the year of making the transaction of acquisition of the immovable, in production of agricultural products listed in Annex I to the Treaty on the Functioning of the European Union, except fishery products and cotton (hereinafter *agricultural product*).

(4) A legal person of a Contracting State has the right to acquire an immovable which contains ten hectares or more of forest land if the legal person has been engaged, for three years immediately preceding the year of making the transaction of acquisition of the immovable, in forest management within the meaning of the Forest Act (hereinafter *forest management*) or production of agricultural products.

(5) A legal person of a Contracting State has the right to acquire an immovable which contains less than ten hectares of agricultural land and less than ten hectares of forest land, but ten hectares or more of agricultural and forest land in total, if the legal person has been engaged, for three years immediately preceding the year of making the transaction of acquisition of the immovable, in production of agricultural products or forest management.

[RT I, 04.07.2017, 1 – entry into force 01.01.2018]

(6) If a legal person of a Contracting State does not meet the requirements provided for in subsections 3–5 of this section, the legal person may acquire an immovable which contains ten hectares or more of agricultural land, forest land or agricultural and forest land in total only with the authorisation of the council of the local government of the location of the immovable to be acquired (hereinafter *council*).

[RT I, 04.07.2017, 1 – entry into force 01.01.2018]

§ 5. Acquisition of immovables which contain agricultural or forest land by persons of third countries

(1) A citizen of a third country has the right to acquire an immovable which contains agricultural or forest land only with the authorisation of the council if the citizen has resided in Estonia permanently for a period of at least six months immediately before applying for the authorisation or if the citizen has been engaged in Estonia, for one year immediately preceding the year of applying for the authorisation, as a sole proprietor in:

[RT I, 04.07.2017, 1 – entry into force 01.01.2018]

- 1) production of agricultural products if the immovable to be acquired contains agricultural land, or
- 2) forest management or production of agricultural products if the immovable to be acquired contains forest land or both agricultural and forest land.

(2) For the purposes of this Act, a citizen of a third country is a natural person who is not a citizen of a Contracting State.

(3) A legal person of a third country has the right to acquire an immovable which contains agricultural land only with the authorisation of the council if the legal person has been engaged in Estonia, for one year immediately preceding the year of applying for the authorisation, in production of agricultural products and if a branch of the legal person is entered in the Estonian commercial register.

[RT I, 04.07.2017, 1 – entry into force 01.01.2018]

(4) A legal person of a third country has the right to acquire an immovable which contains forest land only with the authorisation of the council if the legal person has been engaged in Estonia, for one year immediately preceding the year of applying for the authorisation, in forest management or production of agricultural products and if a branch of the legal person is entered in the Estonian commercial register.

[RT I, 04.07.2017, 1 – entry into force 01.01.2018]

(5) A legal person of a third country has the right to acquire an immovable which contains both agricultural and forest land only with the authorisation of the council if the legal person has been engaged in Estonia, for one year immediately preceding the year of applying for the authorisation, in production of agricultural products or forest management and if a branch of the legal person is entered in the Estonian commercial register.

[RT I, 04.07.2017, 1 – entry into force 01.01.2018]

(6) For the purposes of this Act, a legal person of a third country is a legal person whose seat is not in a Contracting State.

§ 6. Application for authorisation for acquisition of immovables which contain agricultural or forest land

(1) A person specified in subsection 6 of § 4 or subsection 1 or 3–5 of § 5 of this Act (hereinafter *applicant*) shall submit a standard format application to the local government for an authorisation for acquisition of an immovable which contains agricultural or forest land (hereinafter in this Chapter *application for authorisation*) and the activity plan for using the immovable for its intended purpose (hereinafter *activity plan*).

[RT I, 04.07.2017, 1 – entry into force 01.01.2018]

(2) A legal person in private law performing public functions who wishes to acquire an immovable for the performance of public

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(3) The format of the application for authorisation shall be established by a regulation of the minister in charge of the policy sector.
[RT I, 29.06.2014, 109 – entry into force 01.07.2014, in accordance with subsection 4 of § 107³ of the Government of the Republic Act as of 1 July 2014 the words "Minister of Agriculture" are replaced with words "minister in charge of the policy sector".]

(4) In the activity plan the applicant shall provide an overview of the activities planned for at least five years and confirm that the immovable to be acquired will, according to its intended purpose, be used efficiently, sustainably and purposefully. Together with the activity plan the applicant shall submit documents certifying that adequate means, including financial resources, are available for implementation of the activities described in the activity plan.

(5) In the activity plan the person specified in subsection 6 of § 4 of this Act may plan the grant of use of the immovable to be acquired to another person by submitting to the local government a written confirmation of the other person certifying that the latter has been engaged in Estonia, for three years immediately preceding the year of applying for the authorisation, in:

[RT I, 04.07.2017, 1 – entry into force 01.01.2018]

- 1) production of agricultural products if the immovable to be used contains agricultural land, or
- 2) forest management or production of agricultural products if the immovable to be used contains forest land or both agricultural and forest land.

(6) In the activity plan the person specified in subsection 6 of § 4 of this Act need not certify the availability of the means specified in subsection 4 of this section if, in the activity plan, the person plans to grant the use of the land to be acquired for at least five years to another person in conformity with subsection 5 of this section.

(7) A person of a third country cannot plan the grant of use of the immovable to be acquired to another person in the activity plan.

§ 7. Processing of applications for authorisation for acquisition of immovables which contain agricultural or forest land

[RT I, 04.07.2017, 1 – entry into force 01.01.2018]

(1) Upon receipt of an application for authorisation the local government shall examine the conformity of the applicant, the application for authorisation and the activity plan to the requirements and the existence of prescribed documents.

[RT I, 04.07.2017, 1 – entry into force 01.01.2018]

(2) If an applicant has not submitted all the prescribed documents or if the circumstances necessary for grant of the authorisation cannot be established on the basis of the submitted documents, the local government shall set a term for the applicant for the elimination of deficiencies. If the applicant fails to eliminate the deficiencies during the set term, the local government may refuse to review the application for authorisation.

[RT I, 04.07.2017, 1 – entry into force 01.01.2018]

(3) The local government shall refuse to review an application for authorisation and return it to the applicant if:

[RT I, 04.07.2017, 1 – entry into force 01.01.2018]

(4) The council may make a decision on refusal to grant authorisation for acquisition of an immovable if:

- 1) the applicant or the application for authorisation does not meet requirements provided for in this Act;
- 2) the grant of authorisation is contrary to the public interest within the meaning of this Act and there is no other predominant public interest;
- 3) the grant of authorisation prevents the local government to perform the functions assigned thereto by law.

[RT I, 04.07.2017, 1 – entry into force 01.01.2018]

(5) The council shall make a decision on grant of authorisation or a decision on refusal to grant authorisation for acquisition of an immovable within 45 days after submission of the application for authorisation to the local government.

[RT I, 04.07.2017, 1 – entry into force 01.01.2018]

§ 8. Processing of applications for authorisation for acquisition of immovables which contain agricultural or forest land

[Repealed – RT I, 04.07.2017, 1 – entry into force 01.01.2018]

§ 9. Verification of compliance with requirements of applications for authorisation for acquisition of immovables which contain agricultural or forest land

(1) Compliance with the requirements provided for in subsections 3–5 of § 4 of this Act and the existence of the authorisation specified in subsection 6 of § 4 or subsection 1 or 3–5 of § 5 upon transfer of immovables shall be verified by the notary, enforcement agent, trustee in bankruptcy or local government of the location of the immovable.

(2) For the purpose of verification of compliance with the requirements provided for in subsections 3–5 of § 4 of this Act, a person shall submit to the notary, enforcement agent, trustee in bankruptcy or local government a document issued by the competent authority of the country of the seat of the legal person of a Contracting State certifying the compliance of the person with such requirements.

(3) A person who, in conformity with the requirements provided for in subsections 3–5 of § 4 or subsection 1 or 3–5 of § 5 of this Act, has been engaged in Estonia in production of agricultural products or forest management shall submit a certificate from the Tax and Customs Board concerning this fact to the notary, enforcement agent, trustee in bankruptcy or local government of the location of the immovable.

Chapter 3

Restrictions on Acquisition of Immovables Arising from National Defence Reasons

§ 10. Restrictions arising from national defence reasons

(1) Any natural person who is not a citizen of a country which is a contracting party to the EEA Agreement or the United Kingdom of

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- 1) the sea islands, except Saaremaa, Hiiumaa, Muhu and Vormsi;
- 2) in the county of Ida-Virumaa: the cities of Narva, Narva-Jõesuu and Sillamäe and the rural municipalities of Alajõe, Iisaku, Illuka, Toila and Vaivara;
- 3) in the county of Tartumaa: the rural municipalities of Meeksi and Piirissaare;
- 4) in the county of Põlvamaa: the rural municipalities of Mikitamäe, Orava, Räpina and Värskä;
- 5) in the county of Võrumaa: the rural municipalities of Meremäe, Misso and Vastseliina.

(2) For reasons of national importance, the Government of the Republic may grant authorisation, by an order, to a person specified in subsection 1 of this section for the acquisition of an immovable in the areas provided for in the same subsection.

Chapter 4

Implementing Provisions

§ 11. Implementation of Act

(1) The requirements provided for in this Act apply to the applications for authorisation for acquisition of immovables submitted on the basis of the Restrictions on Acquisition of Immovables Act hitherto in force and such applications shall be processed on the bases and pursuant to the procedure provided by this Act.

(2) Authorisations for acquisition of immovables which are valid at the time of entry into force of this Act and have been granted on the basis of the Restrictions on Acquisition of Immovables Act hitherto in force shall be valid until repeal thereof, expiry of their validity or the final execution of the right granted thereby.

(3) Applications for authorisation that have been submitted to the county governor of the location of the immovable before 1 January 2018 but the processing of which has not been completed by the county governor shall be forwarded by the county governor together with other documents gathered during the administrative proceedings to the local government no later than on 31 December 2017. The local government shall conduct the authorisation proceedings in conformity with § 7 of this Act.

[RT I, 04.07.2017, 1 – entry into force 01.01.2018]

§ 12. Repeal of Act

The Restrictions on Acquisition of Immovables Act (RT I 2003, 23, 145; 2009, 3, 15) is repealed.